

CORPORATE GOVERNANCE REPORT

I. COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

II BOARD OF DIRECTORS

Composition & Other Directorships

1. The directors should possess a high level of expertise and experience in diverse areas like technology, finance, corporate strategy, M&A, etc. so that they can effectively contribute to the Company's growth objectives.
2. The directors should not be related to other promoter/ executive/independent directors. Further, they should not occupy any executive positions in competitor companies.
3. The directors should attend and actively participate in all the board and committee meetings and carry out their general responsibilities as directors without allowing any kind of situation to arise which carries the potential of a conflict of interest

The Company's shareholders in their annual general meeting held on July 29, 2005 have approved payment of sitting fees to the directors for attending meetings of the Board and Audit Committee up to the maximum limit prescribed by the Companies Act, 1956. Presently, the directors receive sitting fees for attending board and committee meetings @ Rs.20, 000/- and Rs.10, 000/- per meeting respectively.

Name of Director	Position	Other Directorships	Other Committee Memberships	Chairperson in Committees
Mr. K.V. Aiyappan*	Independent, non-executive Chairman	10	2	2
Mr. M.G. Ved@	Independent, non-executive Chairman	2	Nil	Nil
Mr. Satish Menon	Independent, non-executive director	Nil	Nil	Nil
Mr. Pankaj Agarwal#	Non-executive, promoter director	Nil	Nil	Nil
Mr. Vivek Malhotra #	Independent, non-executive director	2	Nil	Nil
Mr. Guhan Subramaniam**	Independent, non-executive director	8	Nil	Nil

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06, ** appointed w.e.f. 07.11.06, # appointed w.e.f. 09.02.07

The Company has a mandatory annual requirement for every director to inform the Company about the board/committee membership positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 committees or is the Chairman of more than 5 committees across all companies in which he is a director.

DIRECTORS' REMUNERATION

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Board adopts the following criteria while deciding on directors' compensations:

The Company's Board in its meeting held on January 30, 2007 appointed Mr. Shankar Velayudhan as its 'Manager' under the Companies Act, 1956 for a period of 3 years effective January 30, 2007, subject to approval of the Company's shareholders and the Central Government. The Company has applied to the Central Government seeking approval for Mr. Shankar Velayudhan's appointment and remuneration. The application is pending approval.

The Company has obtained Central Government's permission and is currently paying remuneration of Rs.2 lacs per annum to Mr. M. G. Ved for a period of three years effective January 29, 2005, with an annual increase in remuneration @ 25% p.a.

The Company has also obtained Central Government's permission and is currently paying remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with an annual increase in remuneration @ 25% p.a.

PROVISIONS AS TO BOARD MEETINGS:

Five board meetings were held during the year ended March 31, 2007. The board meetings were held on June 26, 2006, July 31, 2006, October 30, 2006, November 7, 2006 and January 30, 2007. All the information to be provided to the Board as per Annexure-1 of Clause 49 of the Listing Agreement was made available to the board.

The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company Management on a quarterly basis.

CODE OF CONDUCT:

The Company's Board has laid down a Code of Conduct for all its members as well as members of the Senior Management of the Company. The said Code has been posted on the Company's website. All Board and Senior Management members have affirmed compliance with this Code as on March 31, 2007.

having post audit discussion, reviewing the Company's financial and risk management policies.

Necessary powers are vested with the Audit Committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the Audit Committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

All the members of the Audit Committee are qualified, non-executive directors of the Board. Mr. K. V. Aiyappan, Mr. M.G. Ved, Mr. Satish Menon, Mr. Guhan Subramaniam, & Mr. Vivek Malhotra are independent members on the Audit Committee.]

Mr. K.V. Aiyappan, a banker, with more than 20 years of experience, was the Chairman of the Audit Committee till his resignation on November 7, 2006.

Mr. M. G. Ved, Chairman of the Audit Committee, effective November 7, 2006, is a practicing Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation. The Chairman will be present at the Annual

Attendance of Directors in Board Meetings & AGM held during year ended March 31, 2007						
Name of the Director	Board Meeting Dates					AGM Date
	June 26, 2006	July 31, 2006	October 30, 2006	November 7, 2006	January 30, 2007	August 28, 2006
Mr.K.V. Aiyappan*	Present	Present	Present	N.A.	N.A.	Present
Mr. M.G. Ved@	Present	Present	Present	Present	Present	Present
Mr. Satish Menon	Present	Present	Present	Present	Present	Present
Mr. Guhan Subramaniam**	N.A.	N.A.	N.A.	Present	Present	N.A.
Mr. Pankaj Agarwal#	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Mr. Vivek Malhotra#	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06, ** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.07

III AUDIT COMMITTEE

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act. The Committee and has all such additional features / functions as contained in the Listing Agreement.

The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company Management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/ internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as

General Meeting to answer shareholders' queries.

Mr. Satish Menon, Member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

Mr. Guhan Subramanian, Member of the Committee, is an experienced professional having 28 years of multi functional, multi-industry operations experience.

Mr. Vivek Malhotra, member of the Committee, a qualified chartered accountant, is presently a Director in Population Health Services India.

Mr. P. Vidya Sagar, Company Secretary, who is Secretary to the Committee, was present at all the meetings.

COMPOSITION OF AUDIT COMMITTEE

Name of Director	Position
Mr. K. V. Aiyappan*	Independent, non-executive Chairman
Mr. M.G. Ved @	Independent, non-executive Chairman
Mr. Satish Menon	Independent, non-executive director
Mr. Guhan Subramaniam**	Independent, non-executive director
Mr. Pankaj Agarwal#	Non-executive promoter director
Mr. Vivek Malhotra#	Independent, non-executive director

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06

** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.2007

DIRECTORS' ATTENDANCE RECORD IN AUDIT COMMITTEE MEETINGS HELD DURING THE YEAR

Name of Director	Meetings held	Meetings attended
K.V. Aiyappan*	4	3
M. G. Ved@	4	4
Satish Menon	4	4
Guhan Subramaniam**	4	1
Pankaj Agarwal#	4	0
Vivek Malhotra #	4	0

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06,

** appointed w.e.f. 07.11.2006, # appointed w.e.f. 09.02.2007

IV HR & COMPENSATION COMMITTEE

The HR & Compensation Committee was constituted to determine the company's policy on remuneration packages on the following terms of reference:

- To decide on all matters relating to the company's stock option / share purchase schemes including the grant of options/shares to the directors and employees of the Company and/or of its subsidiaries.
- To determine and make suitable recommendations to the Board in all matters relating to remuneration of the non-executive directors of the Board, executive directors of the Company and its managerial personnel under the Companies Act, 1956.
- To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required

by any statutes/regulations/guidelines/listing agreements, etc.

The Committee held two meetings during the year ended March 31, 2007, i.e. on June 26, 2006 & January 30, 2007.

Name of independent, non-executive director heading the Committee: Mr. M.G. Ved.

ATTENDANCE RECORD IN HR & COMPENSATION COMMITTEE MEETINGS HELD DURING THE YEAR

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan*	2	1
M. G. Ved@	2	2
Satish Menon	2	2
Guhan Subramaniam**	2	1
Pankaj Agarwal#	2	0
Vivek Malhotra #	2	0

* resigned w.e.f. 07.11.06, @ appointed as Chairman w.e.f. 07.11.06,

** appointed w.e.f. 07.11.06, # appointed w.e.f. 09.02.07

V SHAREHOLDERS/INVESTORS GRIEVANCES COMMITTEE

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee.

- Name of independent, non-executive director heading the Committee: Mr. M.G. Ved.
- Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2006	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2007
No. of Investor issues	Nil	7	7	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

VI SHAREHOLDERS' INFORMATION

Annual General Meetings

Location and time of last three AGMs held		
Date of AGM	Time of AGM	Location
August 28, 2006	4.00 p.m.	Hal Convention Centre, HAL Heritage Centre & Aerospace Museum Bangalore 560 037.
July 29, 2005	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
August 6, 2004	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed in the financial year ended March 31, 2007 and the financial year ended March 31, 2006. During the financial year ended March 31, 2005, the following special resolutions were passed-

- Shifting of Registered Office, under Section 17, of the Companies Act, 1956.
- Payment of remuneration to Mr. M. G. Ved & Mr. Satish Menon, under section 198(4), 309(4), of the Companies Act, 1956.
- Increase in the remuneration of Manager, pursuant to Section 198, 269, 310, 311, 312, 317, 386, 387, read with Schedule XIII, of the Companies Act, 1956.
- To adopt Mindteck Employees Stock Option Scheme, in accordance with Section 81(1A) of the Companies Act, 1956 & SEBI (Employees Stock Option Scheme and Employees Stock Purchase Scheme) Guidelines 1999.
- Payment of sitting fess to the Directors of the Company, under section 309, 310, 311 of the Companies Act, 1956.

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2007.

VII DISCLOSURES

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by the stock exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

VIII COMMUNICATION WITH THE SHAREHOLDERS

The Company informs the shareholders, on appointment or re-appointment of a Director and provides a brief resume of the Director, his/her expertise and names of companies in which he/she holds directorships and committee memberships.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and posted on the company's website (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Business Standard, Kannada Prabha, Usha Kiran & Times of India- Bangalore. The Company's web site also displays official news releases.

Please also refer section on Shareholder's Information in this annual report.

IX MANAGEMENT

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

X COMPLIANCE

The statutory auditors' certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is annexed.

On behalf of the Board of Directors

M. G. Ved
Chairman

Bangalore
29th June, 2007

SHAREHOLDERS' INFORMATION

AGM: Date, Time and Venue	Friday, September 28, 2007 at 4.00 P.M. at HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Bangalore-560037
Financial Calendar	1 st April 2006 to 31 st March, 2007
Book Closure dates	September 20, 2007 to September 28, 2007 (both days inclusive)
Dividend Payment Date	Within stipulated period from the date of the AGM, if declared by the members.
Listing on Stock Exchanges & Stock code	The Stock Exchange, Mumbai - 517344
Registrar and transfer Agents	M/s. Mondkar Computer Pvt. Ltd., 25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
Share transfer System	The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmission, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgment.
Dematerialization of shares and liquidity	Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.
Software Development Centers	Bangalore: 16/3, Cambridge Road, Ulsoor, Bangalore - 560 008. Kolkata: Millennium City Information Technology Park, II-9th Floor, 9 C, Block DN, Plot 62 Sector V, Salt Lake, Kolkata- 700 091. Software Technology Park, SDF Building, Module No.529 & 530, 4th Floor, Sector V, Block EP GP, Salt Lake Electronics Complex, Kolkata – 700 091.
Compliance Officer and Registered Office Address for correspondence	P. Vidya Sagar, Compliance Officer, Mindteck (India) Limited 16/3, Cambridge Road, Ulsoor, Bangalore - 560008.

- **Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2007**

Month	Sensex		Share Price		No. of shares traded	Trade Value
	High	Low	High.	Low		
			Rs	Rs.		Rs.
April 2006	12042.56	11237.23	45.00	36.90	100,373	4,184,240
May 2006	12612.38	10398.61	43.00	34.75	116,024	4,587,865
June 2006	10451.33	8929.44	35.50	26.25	73,682	2,372,086
July 2006	10930.09	10007.34	34.60	28.05	44,462	1,360,740
August 2006	11723.92	10751.66	49.40	31.50	226,464	10,395,654
September 2006	12454.42	11550.69	44.05	41.05	106,383	4,576,531
October 2006	13024.26	12204.01	48.50	41.95	148,067	6,801,030
November 2006	13844.78	13091.12	44.90	42.25	101,769	3,467,003
December 2006	13949.00	12995.02	45.65	38.00	59,871	2,615,124
January 2007	14282.72	13362.16	52.60	45.95	328,259	16,688,063
February 2007	14652.09	12886.13	50.75	42.40	97,310	4,588,721
March 2007	13308.03	12415.04	42.75	31.80	60,639	2,175,639

- **Performance in comparison to broad-based BSE Index & BSE IT Index**
- **Distribution of Shareholding as on March 31, 2007**

Month	Share Price (Rs.)	* BSE Index	BSE IT Index
Apr 2006	37.60	12042.56	4034.92
May 2006	35.20	10398.61	3642.67
Jun 2006	35.50	10609.25	3743.32
Jul 2006	30.00	10743.88	3951.13
Aug 2006	43.40	11699.05	4286.42
Sept 2006	42.00	12454.42	4393.56
Oct 2006	46.20	12961.90	4821.98
Nov 2006	44.40	13696.31	5107.22
Dec 2006	44.60	13786.91	5272.56
Jan 2007	48.75	14090.92	5297.17
Feb 2007	45.40	12938.09	4869.99
Mar 2007	37.00	13072.10	4899.39

Range No. of Shares	Shareholders		Shares	
	Numbers	% to Total	Numbers	% to Total
1- 5008025	95.456	559981	5.758	
501 - 1000	211	2.510	174421	1.793
1001 - 2000	88	1.047	132454	1.362
2001 - 3000	28	0.333	69679	0.716
3001 - 4000	9	0.107	31947	0.328
4001 - 5000	9	0.107	40345	0.415
5001 - 10000	20	0.238	155721	1.601
10001 & above	17	0.202	8561016	88.026
Total	8407	100.000	9725564	100.000

* indicates closing price on last day of month

- **Shareholding Pattern as on March 31, 2007**

Shareholder Category	No. of Shares	%age
1. Promoters	7,639,004	78.55
2. Mindteck Employees Welfare Trust	416,000	4.28
3. Public	1,670,560	17.17
Total	9,725,564	100.00